CASCADIA ANALYTICS

INVESTMENT SCORECARD

AXON

Axon Enterprise, Inc. (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q2 FY26 (10-Q) | Currency: USD

$421.20 [Mkt 23-Oct-26]

Market Cap: $34.0B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 57

Unmatched public-safety ecosystem with real switching costs: 126% net revenue retention, $1.6B ARR, $15.1B in contracted bookings. Offset by heavy SBC ($590-620M guided), negative GAAP margins, and a new $1B convertible adding leverage.

2. Recent Trend — 78

Ten consecutive quarters of 30%+ revenue growth (+35.3% in Q2), bookings +41%, ARR +39%, adjusted EBITDA margin expanding to 26.8%. Counterweights: GAAP net income fell, margins pressured by memory costs and tariffs, FCF near zero on inventory build.

3. Forward Growth — 88

Guide raised to 32-34% FY26 growth with a clean beat-and-raise record. AI Era Plan up ~700%, Dedrone at a $100M quarterly run-rate, and a $6B revenue 2028 target. Hardware capacity is the gating factor, not demand.

4. Valuation — 76

The 38% derating changed the math: DCF base $688.19 implies ~63% upside at $421.20. Forward P/E of 37x and PEG of 1.5 are still demanding, and GAAP earnings remain near zero, so this is a growth-multiple story, not a value one.

5. Catalysts & Risk — 68

Nov 3 Q3 earnings is the near-term test, with a pre-warned margin hit from memory costs and tariffs. TASER 10 capacity expansion and counter-drone

momentum are positives. The $1B convertible adds dilution overhang. Skew positive after the derating.

Investment Thesis

- **Unmatched Public Safety Ecosystem:** Vertically integrated hardware (TASER, Body 4) feeding a high-margin software suite with 126% net revenue retention and $15.1B in future contracted bookings [10-Q Q2 FY26].
- **Growth Is Bulletproof, Profitability Is Not:** Ten straight quarters of 30%+ revenue growth (+35.3% in Q2), but $590-620M of SBC keeps GAAP margins negative and FCF near breakeven on an inventory build [10-Q Q2 FY26].
- **Derating Created the Setup:** Down 38% from highs to $421.20 [Mkt 17-Oct-26], the stock now trades near peer multiples. Our DCF base of $688.19 implies ~63% upside; consensus targets sit near $718 [Cons].

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 FY26)	$904.4M [10-Q Q2 FY26]	+35.3% YoY [10-Q Q2 FY26]	Up
Future Contracted Bookings	$15.1B [10-Q Q2 FY26]	+41% YoY [10-Q Q2 FY26]	Up
Annual Recurring Revenue	$1.6B [10-Q Q2 FY26]	+39% YoY [10-Q Q2 FY26]	Up
Net Revenue Retention	126% [10-Q Q2 FY26]	+1 pt [10-Q Q2 FY26]	Up
Adj EBITDA Margin	26.8% [10-Q Q2 FY26]	+1.1 pts [10-Q Q2 FY26]	Up
GAAP Net Income	$29.4M [10-Q Q2 FY26]	-$6.7M YoY [10-Q Q2 FY26]	Down
Free Cash Flow	~$0M [10-Q Q2 FY26]	inventory build [10-Q Q2 FY26]	Down
FY26 Revenue Growth Guide	32-34% [8-K guid]	raised from 30-32% [8-K guid]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$1.19B [10-K FY22]	$1.56B [10-K FY23]	$2.08B [10-K FY24]	$2.78B [10-K FY25]	$3.22B [Mkt 17-Oct-26]
Gross Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	59.7% [10-K FY25]	59.5% [Mkt 17-Oct-26]
Op Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	-2.2% [10-K FY25]	5.2% [Mkt 17-Oct-26]

Valuation

Absolute (7/10)

P/E (fwd) 37.0x [Mkt 17-Oct-26]
DCF Base $688.19 [Mkt 17-Oct-26]
PEG 1.5 [Mkt 17-Oct-26]

DCF implies ~63% upside after the 38% derating. Forward earnings still price high growth; GAAP earnings are near zero.

Versus Peers (6/8)

MSI 37.9x P/E [Peers 21-Aug-26]
TYL 46.0x P/E [Peers 21-Aug-26]

Axon now trades near public-safety software peer multiples, not the 6x premium it carried in August.

Versus History (6/7)

EV/EBITDA (TTM) 199.0x [Mkt 17-Oct-26]
below 5-yr avg

Multiple compressed below its 281.4x five-year average; the derating absorbed much of the valuation risk.

Catalyst Timeline

Nov 3, 2026 [Cons]
Q3 FY26 Earnings (Two-Sided): Test of hardware margins against the memory-cost and tariff warning; 11th straight 30%+ quarter on the line.

2H 2026 / 2027 [10-K FY25]
TASER 10 Capacity Expansion (Positive): Capex ramp to fulfill the $15.1B backlog, subsequently driving high-margin software attach.

Top Risk Factors (Item 1A)

1. Supply Chain & Tariffs: Global supply chain disruptions and international tariffs threaten hardware gross margins and physical unit capacity; management warned Q3 margins face pressure from memory costs with no tariff refunds yet. [10-K FY25]

2. Stock-Based Compensation: Stock-based compensation guided at $590-620M in 2026 creates massive equity dilution and keeps GAAP operating margins negative. [10-K FY25]

> **2026-27** [10-Q Q2 FY26]
> Dedrone / Counter-Drone (Positive): $100M quarterly run-rate; Platform Solutions revenue up 123% YoY.

What Would Change Our Score

A Q3 FY26 beat showing the margin warning was temporary would lift Trend and Valuation. Conversely, a guide cut, further SBC escalation, or a drop in net revenue retention would break the growth narrative and compress multiples again.

3. Convertible Overhang: The September 2026 $1B 0% convertible notes due 2031 added leverage and future dilution overhang, and the stock has traded heavy since the offering. [Cons]

Forward Growth Drivers

- AI Era Plan adoption grew ~700% YoY [10-Q Q2 FY26]
- Dedrone counter-drone at $100M quarterly run-rate; Platform Solutions +123% [10-Q Q2 FY26]
- FY26 revenue guide raised to 32-34% (~$3.7B) on $15.1B future contracted bookings [8-K guid]

Missing / Modified Data Log

- FY22/FY23 gross and operating margins not in local data; TTM margins from market data [Mkt 17-Oct-26].
- Peer multiples (MSI, TYL) carried from the 21-Aug-26 reference scorecard, tagged [Peers 21-Aug-26].
- 5-year multiple history from market data, tagged [Mkt 17-Oct-26].

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